Published: 2026-06-05 17:04:36 CEST

Amber Latvijas balzams - Interim report (Q1 and Q3)

Amber Latvijas balzams announces the unaudited first 3-month operational results for 2026

The Company's unaudited net turnover for the first three months of 2026 amounted to EUR 11.1 million, representing a decrease of 29.6% compared to the corresponding period in 2025. Total sales volume (expressed in 9-liter cases (9Lcs)) during the first three months of 2026 was 36.1% lower than in the corresponding period of 2025. The decline in sales volume was related to strategic decisions made by Stoli Group regarding the development of the Stoli brand and supply chain optimization, which had a short-term impact on order volumes.

Gross profit for the reporting period amounted to EUR 1.2 million, which was EUR 2.3 million, or 66.5%, lower than in the corresponding period of 2025. Gross profit was negatively affected by the decline in sales volume and changes in pricing methodology, partially offset by lower costs of key raw materials and supplies used in the production process, as well as reduced manufacturing related expenses resulting from implemented cost optimization programs.

During the first three months of 2026, the Company recorded a loss of EUR 1.4 million, compared to a profit of EUR 0.8 million in the corresponding period of 2025. The deterioration in results compared to the same period of the previous year amounted to EUR 2.2 million. The profit-beforetax-to-turnover ratio for the first three months of 2026 was 0.2% (2025: 3.7%).

To ensure business continuity and protect creditors' interests, AS “Amber Latvijas balzams” filed an application with the Riga City Court on 30 January 2026 to initiate legal protection proceedings (LPP). The court approved the application on 5 February 2026, commencing the legal protection process under which the Company continues to work on restructuring its liabilities and stabilizing its operations.

The decision to file for LPP was made following several external challenges that had a significant impact on the Company's cash flow.

After Amber Beverage Group publicly expressed its support for Ukraine and peace in Europe, Russian authorities took aggressive actions against the Group's companies. The Russian government designated related entities as “extremist” and confiscated the Group-owned Talvis
distillery.

Over the past year, the global spirits market has experienced a significant downturn. Major producers worldwide have reported declining sales volumes, particularly in export markets. Industry analysts point to changing consumer habits, economic pressure on discretionary spending, and inventory adjustments throughout distribution channels.

The combined effect of these factors created significant cash flow difficulties, leading to delayed excise tax payments. Following prolonged discussions with the State Revenue Service (SRS) regarding overdue excise tax liabilities, the SRS froze the Company's bank accounts. This action made it impossible to continue business operations without legal protection. The LPP provides a structured framework for resolving all liabilities, including tax debts, based on a plan that will be approved by creditors and the court.

The court initially set a deadline of 5 June 2026 for the preparation and approval of the LPP action plan, which was subsequently extended to 5 October 2026. The court stipulated that the plan must be submitted for approval no later than the day following the end of the approval period, while the effects of the initiation of the legal protection proceedings remain in force until 5 August 2026.

AS “Amber Latvijas balzams” continues to implement previously launched initiatives and development plans while intensifying efforts to improve internal processes, control mechanisms, and financial management. As part of an independent external audit, and while strengthening its finance function with new accounting and finance professionals, the Company is conducting an additional assessment of provisions for doubtful receivables established in 2025 and prior reporting periods. These measures are aimed at ensuring a high standard of financial governance, process transparency, and the sustainable development of the Company.

JSC Amber Latvijas balzams
Chairman of the Management Board
Andrejs Višņausks

Attachments:

ALB 1Q 2026 ENG_FINAL_signed.pdf
https://attachment.news.eu.nasdaq.com/a47581af1f2401a13206ff896a258117c

Market News **Nasdaq Baltic**
Subscribe **Nasdaq Europe**

Nasdaq